INTERNATIONAL FINANCIAL TRANSACTIONS ACT, 2054 (1998)

Act No. 21 of the year 2054

(Unofficial Translation)

	Particulars	**Date (BS)**
	Date of Royal Seal and Publication	2054.10.15
	Acts amending this Act:	Date of Authentication and Publication
1	Republic Strengthening and Some Nepal Laws Amendment Act, 2066[1]	2066.10.07
2	Act Amending Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075	2075.11.19

[2].....

An Act Made to Provide for International Financial Transactions

Preamble: Whereas, it is expedient to achieve the economic development of the nation, to develop Nepal as an international financial transaction centre and to regulate and systematize the financial activities of international financial institutions in Nepal, in view of the open, liberal and market-oriented economic policy adopted by the country and the globalization of international financial markets;

Now, therefore, Parliament has enacted this Act in the Twenty-sixth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev.

[1]This Act came into force from 15 Jestha 2065.

[2]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

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1. Short title and commencement:–

(1) This Act may be called the "International Financial Transactions Act, 2054".

(2) This Act shall come into force on such date as the Nepal Government may appoint by publishing a notice in the Nepal Gazette.

2. Definitions:–

Unless the subject or context otherwise requires, in this Act,-

(a) "International financial transaction" means any financial transaction to be carried out by a licensed institution under this Act.

(b) "International financial institution" means a financial institution referred to in Section 4.

(c) "Promotion Committee" means the International Financial Transaction Promotion Committee formed under Section 9.

(d) "Licence" means a licence granted under Section 14 for carrying out international financial transactions under this Act.

(e) "Licensed institution" means an international financial institution which has obtained a licence to carry out international financial transactions under this Act.

(f) "Implementation Committee" means the International Financial Transaction Implementation Committee formed under Section 11.

(g) "Person residing in Nepal" means any of the following persons:-

(1) Nepali citizens other than the Nepali citizens residing outside Nepal [3]..... for a period longer than the prescribed period by way of service, trade or any other business or for any other purpose,

(2) non-Nepali citizens residing in Nepal for a period longer than the prescribed period by way of service, trade or any other business,

(3) any institution registered in Nepal under prevailing law.

(h) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.

3. Permission to be obtained:–

An international financial institution wishing to carry out international financial transactions shall obtain permission from the Implementation Committee under Section 14.

[3]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

4. Financial institutions eligible for licence:–

(1) Only the following financial institutions may obtain a licence for carrying out international financial transactions under this Act:-

(a) foreign banks and trust companies,

(b) international insurance and reinsurance companies,

(c) companies functioning as the authorized office of foreign companies,

(d) foreign holding investment companies,

(e) administrative or regional offices established by foreign financial companies,

(f) international trading companies,

(g) international finance companies,

(h) foreign real estate holding companies,

(i) foreign patent and royalty companies,

(j) foreign mutual funds,

(k) international leasing companies,

(l) international merchant banks,

(m) bodies such as foreign partnerships and trusts established as incorporated bodies,

(n) companies carrying on international sales transactions,

(o) foreign bodies permitted to operate non-resident pension and deferred bonus schemes,

(p) international financial companies providing financial services such as securities brokers, underwriters, investment advisers and pension fund advisers.

(2) Notwithstanding anything contained in sub-section (1), in order to obtain a licence under this Act, such financial institution must have been registered under law in any country outside Nepal [4]..... and must have been engaged in international financial transactions for at least three years.

(3) The Nepal Government may, on the recommendation of the Promotion Committee and by publishing a notice in the Nepal Gazette, alter or add to or reduce the financial institutions mentioned in sub-section (1) as required.

5. Acts not to be done by international financial institutions:–

An international financial institution shall not do the following acts:-

[4]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(a) to purchase any kind of immovable property within Nepal [5]..... or to hold it in its name in any other manner,

(b) to carry out any kind of international financial transaction with a person residing in Nepal,

(c) to purchase the shares or debentures of any company incorporated in Nepal under prevailing law,

(d) to open an account in a commercial bank situated in Nepal [6].....

Provided that it may, with the approval of the Implementation Committee, open an account in any commercial bank, up to the limit of the amount specified by the Implementation Committee, for carrying out the work relating to its day-to-day office administration.

6. No restriction on bringing in foreign currency:–

(1) No restriction of any kind shall be imposed on a licensed institution in bringing in the foreign currency required for international financial transactions.

(2) No restriction imposed by the prevailing law relating to foreign exchange shall apply to a licensed institution.

7. Repatriation of amounts:–

A licensed institution may take back out of Nepal [7]..... the foreign currency earned by carrying out international financial transactions and the foreign currency brought by such institution for international financial transactions.

Provided that the property or capital earned by doing any act held to be illegal or unlawful shall not be allowed to be taken back.

8. No nationalization:–

The capital or property of a licensed institution shall not be nationalized.

9. Formation of Promotion Committee:–

(1) There shall be formed an International Financial Transaction Promotion Committee consisting of the following members, to promote international financial transactions and to develop Nepal as an international financial transaction centre:-

(a) Minister or Minister of State for Finance — Chairperson

(b) [8].....

(c) Vice-Chairperson, National Planning Commission — Member

[5]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[6]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[7]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[8]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(d) Governor, Nepal Rastra Bank — Member

(e) Secretary, Ministry of Finance — Member

(f) Secretary, [9]Ministry of Law, Justice and Parliamentary Affairs — Member

(g) One person nominated by the Nepal Government from among the persons having experience in financial transactions — Member

(2) The Promotion Committee may invite domestic or foreign experts or advisers engaged in international financial transactions to take part in the meetings of the Promotion Committee as observers.

(3) The term of office of the member nominated under clause (g) of sub-section (1) shall be two years.

(4) An officer-level employee of the Nepal Rastra Bank designated by the Promotion Committee with the consent of the Nepal Rastra Bank shall act as the secretary of the Promotion Committee.

(5) The procedures relating to the meetings of the Promotion Committee shall be as prescribed.

(6) The members of the Promotion Committee shall receive such allowances and facilities as prescribed.

10. Functions, duties and powers of the Promotion Committee:–

The functions, duties and powers of the Promotion Committee shall be as follows:-

(a) to formulate the policies necessary for promoting international financial transactions,

(b) to assist the Nepal Government in drafting the laws necessary for promoting international financial transactions,

(c) to maintain, or cause to be maintained, coordination among the concerned governmental, non-governmental and international bodies promoting international financial transactions,

(d) to give necessary suggestions to the Nepal Government in respect of the exemptions, facilities and concessions to be given to international financial institutions in order to establish Nepal as an attractive international financial transaction centre,

(e) to hear appeals filed by an international financial institution whose licence has been suspended or cancelled by the Implementation Committee,

(f) to do such other acts as it considers necessary for promoting international financial transactions.

[9]Amended by the Act Amending Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075.

11. Formation of Implementation Committee:–

(1) There shall be formed an International Financial Transaction Implementation Committee consisting of the following members, to grant licences to international financial institutions for carrying out international financial transactions and to regulate the financial transactions carried out by such institutions:-

(a) Governor, Nepal Rastra Bank — Chairperson

(b) Secretary, Ministry of Finance — Member

(c) Secretary, [10]Ministry of Law, Justice and Parliamentary Affairs — Member

(d) One person nominated by the Nepal Government from among chartered accountants — Member

(e) One person nominated by the Nepal Government from among economists — Member

(2) The Implementation Committee may invite domestic or foreign experts or advisers engaged in international financial transactions to take part in the meetings of the Implementation Committee as observers.

(3) The term of office of the members nominated under clauses (d) and (e) of sub-section (1) shall be two years.

(4) An officer-level employee of the Nepal Rastra Bank designated by the Implementation Committee with the consent of the Nepal Rastra Bank shall act as the secretary of the Implementation Committee.

(5) The office of the Implementation Committee shall be located at the Nepal Rastra Bank.

(6) The procedures relating to the meetings of the Implementation Committee shall be as prescribed.

(7) The members of the Implementation Committee shall receive such allowances and facilities as prescribed.

12. Functions, duties and powers of the Implementation Committee:–

In addition to the functions, duties and powers mentioned elsewhere in this Act, the other functions, duties and powers of the Implementation Committee shall be as follows:-

(a) to monitor and supervise whether licensed institutions have carried out international financial transactions in accordance with this Act, the Rules framed under this Act, or other prevailing laws relating to international financial transactions,

[10]Amended by the Act Amending Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075.

(b) to give suggestions to the Promotion Committee in respect of the facilities to be given to international financial institutions in order to establish Nepal as an attractive international financial transaction centre,

(c) to give suggestions to the Promotion Committee in respect of the improvements to be made in the prevailing laws relating to international financial transactions for carrying out international financial transactions effectively and systematically,

(d) to inquire whether licensed institutions have fulfilled the conditions to be complied with under this Act and, if found not to have been fulfilled, to cause them to be fulfilled,

(e) to give necessary directives to licensed institutions in respect of international financial transactions,

(f) to obtain the services of domestic or foreign experts and specialized bodies for the promotion and development of international financial transactions,

(g) to comply with the directives given by the Promotion Committee from time to time,

(h) to suspend or cancel, according to the circumstances, the licence obtained by a licensed institution if such institution violates this Act, the Rules framed under this Act or other prevailing laws relating to international financial transactions,

Provided that such institution shall be given an opportunity to submit its defence before such cancellation.

(i) to do such other acts as prescribed for making international financial transactions effective.

13. Application to be made for permission:–

An international financial institution wishing to carry out international financial transactions shall make an application to the Implementation Committee, in the prescribed format, along with the prescribed application fee and the prescribed details and documents, for permission to carry out such financial transactions.

14. Grant of permission:–

If, after making necessary inquiry into an application received under Section 13 for permission to carry out international financial transactions, the Implementation Committee considers it appropriate to grant permission to carry out international financial transactions, it shall grant a licence in the prescribed format, specifying also the necessary conditions and charging the prescribed licence fee. If the licence cannot be granted, the applicant shall be informed thereof.

15. Power to demand information, details or documents:–

Before granting a licence to any international financial institution under this Act, the Implementation Committee may demand from such institution such information, details

or documents as it considers necessary in relation to the grant of a licence to carry out international financial transactions. It shall be the duty of the concerned international financial institution to submit without delay the information, details or documents so demanded by the Implementation Committee.

16. Renewal of licence:–

A licence granted under Section 14 to carry out international financial transactions shall be renewed every year. The renewal fee and other matters relating to renewal of licences shall be as prescribed.

17. Confidentiality to be maintained:–

(1) The Implementation Committee shall keep confidential all documents and information relating to licensed institutions under its custody or control.

(2) The Implementation Committee shall not be bound to produce the documents and information referred to in sub-section (1) before any court, commission of inquiry, Commission for the Investigation of Abuse of Authority or inquiry committee, or to breach the confidentiality of such documents or information in any other manner.

(3) Notwithstanding anything contained in sub-section (2), if there are sufficient grounds to prove that the documents and information relating to the international financial transactions carried out by a licensed institution are connected with illegal narcotic drugs or illegal arms, the court may, at the request of the officer prosecuting cases on behalf of the Nepal Government, order that such documents and information be produced before the court.

18. Amounts to be deposited in the Consolidated Fund:–

The Implementation Committee shall deposit the fees and other amounts received under this Act in the Consolidated Fund.

19. Power to form sub-committees:–

(1) The Promotion Committee or the Implementation Committee may, as required, form sub-committees for carrying out its functions.

(2) The functions, duties and powers, scope of work and working procedures of the sub-committees formed under sub-section (1) shall be as specified by the Promotion Committee or the Implementation Committee forming such sub-committee.

20. Cooperation to be extended:–

All governmental bodies shall extend necessary cooperation to the Promotion Committee and the Implementation Committee in carrying out their functions.

21. Delegation of powers:–

(1) The Promotion Committee may, as required, delegate any or all of the powers conferred on the Promotion Committee under this Act or the Rules or Regulations framed

under this Act to any member of the Promotion Committee or to the Implementation Committee.

(2) The Implementation Committee may, as required, delegate any or all of the powers conferred on the Implementation Committee under this Act or the Rules or Regulations framed under this Act to any member of the Implementation Committee, a sub-committee or any officer-level employee.

Provided that the Implementation Committee shall not delegate the power to grant a licence to carry out international financial transactions and to cancel or suspend such licence.

22. Contact with the Nepal Government:–

The Promotion Committee shall maintain contact with the Nepal Government through the Ministry of Finance.

23. Power to frame Rules and Regulations:–

(1) The Nepal Government may frame necessary Rules for implementing the objectives of this Act.

(2) Subject to this Act and the Rules framed under this Act, the Promotion Committee may frame necessary Regulations, and such Regulations shall come into force after approval by the Nepal Government.

24. To be governed by prevailing law:–

Matters provided for in this Act shall be governed by this Act, and other matters shall be governed by other prevailing laws relating to international financial transactions.

Note: Words converted by the Act Amending Some Nepal Laws, 2063: "Nepal Government" in place of "His Majesty's Government".